

Lecture 4: Interpolation and Integration

Computational Bootcamp

John P. Ryan

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University of Wisconsin–Madison

Today's goals

1. Understand the basics of interpolation techniques and how they help solve dynamic models
2. Learn numerical integration (quadrature) for computing expectations

Interpolation

- Remember the optimal capital accumulation problem we solved last week:

$$V(k) = \max_{c, k'} \{ \log(c) + \beta V(k') \}$$

$$c + k' = k^\alpha + (1 - \delta)k$$

- We forced capital to be in a discrete set:

$$D_k = \{k_1, \dots, k_N\}$$

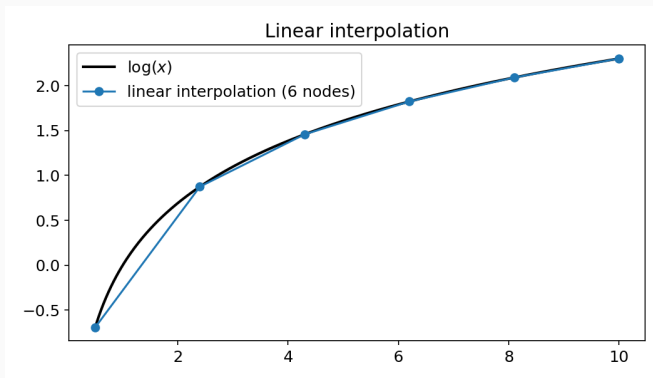
- And solved the value function assuming we could only choose values within this discrete set:

$$V(k) = \max_{k' \in D_k} \{ u(c) + \beta V(k') \}$$

- This is a good way to get started, but:
 1. It forces you to do optimization via grid search
 2. Might need a lot of grid points to get a good approximation
 3. The optimal decision might be between or outside the grid
 4. Don't know what the agent does when between grid points

Interpolation

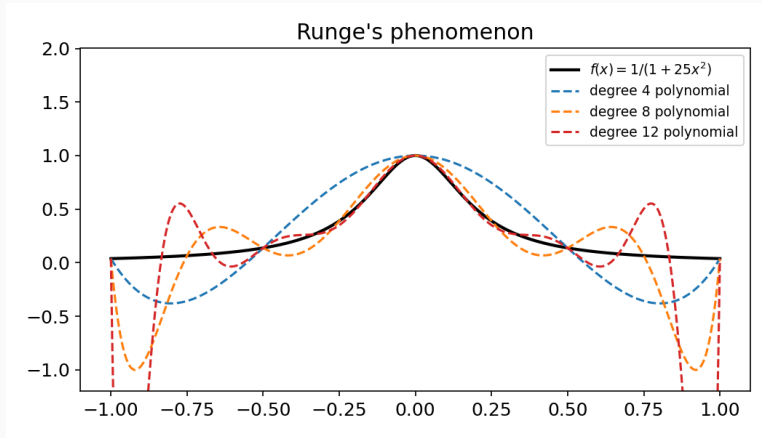
- **Interpolation**: the approximation of a function within a set of known points
- In plain English: connect-the-dots for PhD economists



Types of interpolation

- There are many ways to connect the dots because you can do whatever you want in between them
- Common ways:
 - **Polynomial interpolation:** fit a degree- N polynomial to the data
 - Motivation: any continuous function on compact support can be approximated by polynomials (Stone–Weierstrass)
 - Problem: strange things happen at the tails as N increases (Runge’s phenomenon)
 - **Linear/spline interpolation:** draw lines between points
 - Linear: assume the line is straight
 - Spline: assume the line is a polynomial of low degree (usually cubic)

Runge's phenomenon



- Higher-degree global polynomials can behave *worse*, especially near endpoints

Linear interpolation

- Discrete domain: $\{x_1, x_2, \dots, x_N\}$; discrete range: $\{f(x_1), \dots, f(x_N)\}$
- Linear interpolation $L(x)$: for $x \in [x_i, x_{i+1}]$,

$$L(x) = f(x_i) + (x - x_i) \frac{f(x_{i+1}) - f(x_i)}{x_{i+1} - x_i}$$

- Intuition: weighted average of function values based on distance
- Problems:
 1. Derivative can change drastically at grid points
 2. Derivative is constant between grid points

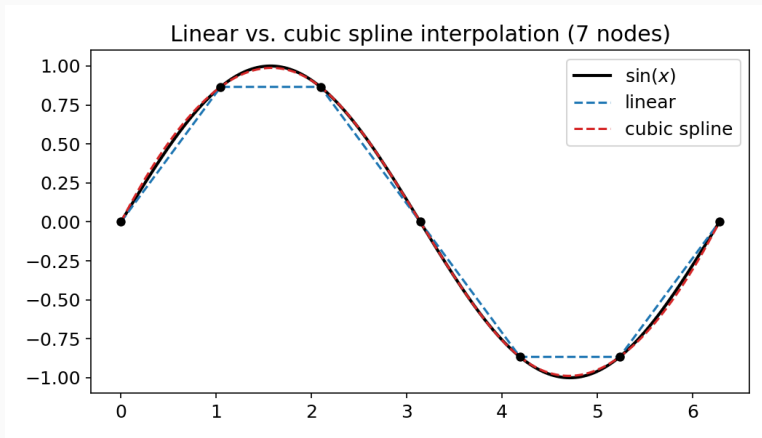
Cubic spline interpolation

- Fit a cubic polynomial between all points: with N points $\{(x_i, f(x_i))\}_{i=1}^N$, for $x \in [x_i, x_{i+1}]$:

$$S_i(x) = a_i + b_i x + c_i x^2 + d_i x^3$$

- N points $\implies N - 1$ intervals and $4(N - 1)$ coefficients, pinned down by:
 - $2(N - 1)$ endpoint conditions: $S_i(x_i) = f(x_i)$ and $S_i(x_{i+1}) = f(x_{i+1})$
 - $2(N - 2)$ continuity conditions on S' and S'' at interior points
 - Two boundary conditions at the ends
- Benefit: smooth approximation with continuous derivatives (nice for optimizers!)
- Cost: can overshoot — added curvature is not always a good thing

Linear vs. cubic in practice



Interpolation in Julia: Interpolations.jl

```
using Interpolations

kgrid = range(0.01, 45.0, length=100)
V = log.(kgrid)                # values on the grid

itp_lin = linear_interpolation(kgrid, V)
itp_cub = cubic_spline_interpolation(kgrid, V)

itp_lin(3.7)                   # evaluate anywhere between grid points
itp_cub(3.7)

# allow (careful!) extrapolation beyond the grid
itp_ext = linear_interpolation(kgrid, V, extrapolation_bc = Line())
```

- Now V is defined *everywhere*: you can hand it to Optim/Roots and choose k' off the grid

Multivariate interpolation

- These methods extend to the multivariate case, e.g. **bilinear** interpolation on a grid $[x_i, x_{i+1}] \times [y_j, y_{j+1}]$:

$$B(x, y) = \frac{1}{(x_{i+1} - x_i)(y_{j+1} - y_j)} \begin{bmatrix} x_{i+1} - x & x - x_i \end{bmatrix} \begin{bmatrix} f(x_i, y_j) & f(x_i, y_{j+1}) \\ f(x_{i+1}, y_j) & f(x_{i+1}, y_{j+1}) \end{bmatrix} \begin{bmatrix} y_{j+1} - y \\ y - y_j \end{bmatrix}$$

- Intuition: interpolate in x , then in y (weighted average of the four corners)
- Interpolations.jl handles this with the same syntax on a 2D grid
- Beware the curse of dimensionality: tensor grids explode as dimensions grow

Integration

Numerical integration: why?

- Expectations are integrals, and economics is full of expectations:

$$\mathbb{E}[V(k', z')] = \int V(k', z') dF(z'), \quad \mathbb{E}[u(c(\varepsilon))] = \int u(c(\varepsilon)) \phi(\varepsilon) d\varepsilon$$

- Distributions often don't give closed forms once wrapped around model objects
- Two broad approaches:
 1. **Monte Carlo**: simulate draws, average (Lecture 7)
 2. **Quadrature**: deterministic nodes and weights (today)
- For smooth, low-dimensional integrals, quadrature is dramatically more accurate per function evaluation

Quadrature: approximating integrals

- We are interested in approximating an integral (such as an expectation):

$$\int_a^b g(x) dx$$

- Choose a set of n nodes (x_i) and weights (w_i) and calculate:

$$\int_a^b g(x) dx \approx \sum_{i=1}^n w_i g(x_i)$$

- In essence: take a weighted sum of function values instead of evaluating the true integral
- Like Riemann sums from calculus — but with nodes and weights chosen cleverly, n points integrate polynomials up to degree $2n - 1$ *exactly* (Gaussian quadrature)

Quadrature examples

- The right family of nodes/weights depends on the integral:
 - **Gauss-Legendre**: $\int_{-1}^1 g(x) dx$ (bounded intervals, after rescaling)
 - **Gauss-Hermite**: $\int_{-\infty}^{\infty} f(x) e^{-x^2} dx$ (normal shocks!)
- For $X \sim N(\mu, \sigma^2)$: $\mathbb{E}[f(X)] \approx \frac{1}{\sqrt{\pi}} \sum_i w_i f(\mu + \sqrt{2}\sigma x_i)$

```
using FastGaussQuadrature
x, w = gausshermite(9)      # 9 nodes go a long way
Ef = sum(w .* f.(mu .+ sqrt(2)*sigma .* x)) / sqrt(pi)
```

- Sparse grids for higher dimensions: <http://www.sparse-grids.de>

What about correlated normals?

- Suppose the model has two *correlated* normal shocks
- Use quadrature (or simulation) for *independent* standard normals, then transform with the **Cholesky decomposition** $\Sigma = LL'$:

$$\begin{bmatrix} X_1 \\ X_2 \end{bmatrix} \sim N(0, \Sigma) \implies \begin{aligned} X_1 &= L_{11}Z_1 \\ X_2 &= L_{21}Z_1 + L_{22}Z_2 \end{aligned} \quad Z_1, Z_2 \text{ iid } N(0, 1)$$

- Bonus for estimation: the coefficients of L enter *linearly*, so estimate the (unconstrained) entries of L and back out $\Sigma = LL'$ — positive semi-definiteness for free
- In Julia: `cholesky(Sigma).L`

- Interpolation + optimization + quadrature are the three ingredients of serious dynamic programming (coming in Lecture 6):
 - Interpolate V off the grid, optimize over continuous k' , integrate over shocks
- Start with linear interpolation and a coarse grid; refine only once things work
- Check quadrature accuracy by doubling the number of nodes
- To the code!